

The Social Radars

S2: Bill Clerico, Co-Founder & CEO of WePay

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Jessica: I'm Jessica Livingston, and Carolynn Levy and I are The Social Radars. In this podcast, we talk to some of the most successful founders in Silicon Valley about how they did it. Carolynn and I have been working together to help thousands of startups at Y Combinator for almost 20 years. Come be a fly on the wall as we talk to founders and learn their true stories.

Today, we're talking with Bill Clerico, one of the founders of WePay, which Y Combinator funded back in 2009. WePay was one of the first of what are now called FinTech startups, and helped pave the way for many other companies in this space. In 2017, J.P. Morgan acquired WePay for about \$400 million. Listen in to the adventures of an early FinTech pioneer.

Carolynn, we have Bill Clerico on today. Bill was the co-founder and CEO of a company called WePay, which was in our summer '09 batch, and now he is running a fund called Convective Capital that focuses on firetech.

Carolynn: Hey, Bill.

Jessica: Hi, Bill.

Bill: Hey, Jessica. Hey, Carolynn. It's awesome to be here.

Jessica: We're so excited to talk to you today.

Bill: Me, too. Actually, Founders at Work was one of the very first books I read about startups, so I feel like this is just such an awesome opportunity to be on the podcast version of that.

Jessica: Oh, that's so great. That came out so long ago and it's what I love to do, I love talking to people-

Bill: Totally.

Jessica: ... about how they got started and things like that, so we're excited to have you. I remember when I think back to that summer '09 batch, we had an interesting interview with you, Bill.

Bill: We did.

Jessica: And Rich, your co-founder. Because I believe you had an exploding term sheet from another accelerator, and you emailed us and said, "We have this exploding offer. What should we do?" So what do you remember from that?

Bill: Yeah, well, maybe I'll even back up a little bit before that. We had been trying to get WePay started for almost a year in Boston, and because we weren't in YC, we were doing all the wrong stuff. We were trying to raise money, I had a great pitch deck and no product and hadn't really talked to users, and all that stuff. So no surprise, we were running out of money, and we were floundering a bit. And so we applied to YC as a saving grace, and we had applied to a couple other accelerators as well, and we-

Jessica: Can I interrupt you for one second and ask you-

Bill: Sure.

Jessica: ... if this was in the summer '09, or right before summer '09, why hadn't you applied to Y Combinator before? We were literally in Boston in '05, '06, '07, and '08.

Bill: Yeah. I had quit my job in August of 2008, and it was the worst possible time to be striking out on your own. I think I quit on the first week of August, and then I think on August 14th or something, Lehman Brothers imploded. It was just like the world was melting down. I don't know. I think we just weren't really aware. I was just like, "We're going to start a company," and I don't think I had heard of YC or really even understood.

Jessica: Okay, so even though you were in Boston, you hadn't heard of us.

Bill: No.

Jessica: That shows you how good my marketing skills were back then.

Bill: Well, it worked out.

Jessica: So you said, "This is our last hope," and you applied to some accelerators.

Bill: Yeah, so we had an offer from another accelerator and they basically said, "Hey, you've got this exploding offer," and I think they had timed it to be before the YC deadline. [inaudible 00:03:48] be tricky.

Jessica: Oh, of course they did. That was their move.

Bill: Yeah, and so we emailed you guys and we said, "Hey, we have this exploding offer. Any chance you could interview us early?" And I think PG had emailed back and just said, "If you can be here this weekend, we'll interview you." And so we were like, "Great," and we booked our tickets.

The funny thing is the other accelerator, their deadline, they changed it. They were like, "We need to know by Friday." And so we actually had to basically turn them down, or at

least say, "We can't get back to you by Friday," so that we could even come interview early. And so we did that, because we just had a good feeling about YC, we knew we wanted to do that. And so got on the airplane, flew out to the West Coast. I remember we got there early, we were staying with a friend, and so Rich and I were walking around on the Bay Trail, just killing time before the interview. We're looking around at Silicon Valley and we were just like, "This place is awesome and where we want to be." We came over to your garage in Palo Alto, and we interviewed, and you guys let us in. It was great.

Jessica: Did we tell you right then and there? Because was it Paul and I and Trevor, or just Paul and I?

Bill: No, it was you, Paul and Trevor. And no, you called us back later that night. So we interviewed, we left, and I remember actually we had left and we really had no money, and you chased us out under the front line of your house and you said, "Hey, here's the check for your travel." It was 600 bucks or something like that, we were like, "Oh, thank God." And so we got 600 bucks, and then we went back and hung out with our friend for a little bit and then we got the call a couple of hours later. We were just so excited.

Jessica: Oh, I remember we really liked you, both you and Rich, and you were working on this very cool idea, so it was sort of a no-brainer. I do remember. Because we were much stricter on the specialty early admissions startup choices interviews that we had to do. We occasionally had to do this for startups that would get exploding term sheets.

Meanwhile, I just noticed the juxtaposition of the accelerator offering you an exploding term sheet versus me running after you with a check.

Bill: Yeah, it was awesome.

Jessica: But anyway.

Bill: It changed our life. We got back to Boston, and we literally the next day sold all our furniture, packed up my car, and we drove to the West Coast in my 1998 Toyota Camry. We did it in 34 hours, which is quite an accomplishment to get from Boston to the Bay Area.

Jessica: Wow! Did you guys not stop and do a little sightseeing?

Bill: No, we were like, we wanted to get out west so that we could get the funding to get up and running. We were just eager to get going.

Carolynn: Forget about sightseeing. What about sleeping? That's the question.

Bill: Yeah, we didn't sleep. We just alternated. At one point, we slept for 45 minutes in a gas station.

Jessica: 45 minutes. Wow.

Bill: That was our one big stop of the trip.

Jessica: Now, this might've been later, so tell me if this happened later or then. But you guys lived around the corner from us. Do you remember that fabulous place in Palo Alto?

Bill: That was our place, but that came later. Actually, our very first stop in Silicon Valley was, we moved into a house in Milpitas just east of San Jose. It was \$1,700 a month for a four bedroom house, and it had no air conditioning. We lived next to, I think it was a gang. There was some sort of not so great activity happening next door, but that was our first place. After YC, we went out and raised some money, we moved to Palo Alto. We were right on the railroad track, so it still wasn't the best of Palo Alto, but we were much more in the action, which was great.

Jessica: And we were giving you at that time, was it \$12,000?

Bill: I think it was something like that, yeah. Yeah. To us, it felt like a lot at the time, given that we were running off of credit card debt and got us through the summer. But in hindsight it was pretty thin times.

Jessica: We didn't have any software yet back then to book office hours. Was it still sort of like, we'd see you on Tuesday nights, you'd give an update and maybe you'd meet with a partner? Was it just still me and Paul? I'm now wondering about summer '09.

Bill: Yeah, it was you and Paul and Trevor. I don't think Harj was there yet. Trevor was working on Anybots, and so part of the fun of coming to Tuesday night dinners was to go see the robots. You and PG would cook and we'd have the infamous YC-

Jessica: Beans.

Carolynn: The beans. The bean glaw.

Bill: The beans.

Carolynn: Right. Glaw.

Bill: And Jay Levy, of course.

Jessica: Yes. Jay Levy, who's Carolynn's husband, for the listeners, was one of the first people that ever worked at YC that wasn't a founder.

Bill: Yeah.

Jessica: He goes way back.

Carolynn: That was summer '09, I remember that he started right... I think that your batch was his first batch working there.

Jessica: Mm-hmm. Yeah.

Bill: We would play basketball with Jay Levy. Yeah, that was always fun.

Jessica: So you are pretty young, you're in your twenties, and you're working on a moving of money and payments type of company. What was it like to work with banks back then? And by the way, for listeners, Bill has a very young looking face.

Carolynn: Yes. Agreed.

Jessica: I have to say. You've aged very well. But I mean when you were 25 or something, you must've looked like a baby. What was it like working with banks with no credentials and a baby face?

Bill: Yeah, it was tricky. One of the things you need as a payments company is you need what's called a merchant account, which allows you to basically process credit cards. You need access to Visa and MasterCard and all that. Banks are very careful about who they give merchant accounts to. They're very used to giving them to restaurants and retail shops. They're not so used to giving them to two 23 year olds who want to move money for other people in a sort of complicated online way, and so this is before Stripe existed or anything like that. So this is sort of back in the day. And so we would basically have to go try to set up these merchant accounts at these banks and the banks would slowly get suspicious about what we were doing and try to investigate us in various ways. And so, one day they were like, "We want to come visit your office." And we were like, well, we can't really take them to the house in Milpitas. That's not-

Carolynn: The meth house was off-limits.

Bill: The Met House was off-limits. So we actually borrowed YC's offices for the day and we paid for signs all around the office, and we had some friends come and pretend like they were working. They came and did their inspection, and we showed them all around. We did a quick walkthrough, and then we were like, well, let me show you some robots. And we took them over to Trevor's spot.

Jessica: Ignore the terrifying robots. That's funny.

Carolynn: Oh, my God.

Bill: It was kind of like a whole dog and pony show we put on. We passed the inspection and we kept our merchant account.

Jessica: Hang on, because I have a memory of this. I remember being sort of half not excited about putting up WePay signage in the office.

Bill: I can't imagine why you wouldn't be excited about that.

Jessica: But I do remember it, because you used where the partners would meet, Carolyn, they put up a WePay sign, so that was the office. And then I love that you were like, "Come back and see the walking robots," and just trash them. Nothing to see over here. Nothing to see. I didn't know you had friends come and pose as employees, though.

Bill: Yeah.

Jessica: Oh, wow.

Bill: There was just no way we were going to pass with two people living in a house, and so that was what we did.

Carolynn: Do you remember which bank gave the tour, or did you give the tour, too?

Bill: I don't remember. I think it was sort of a smaller regional sort of payments bank. It wasn't one of the big ones. I think the big ones would've seen through our tricks, probably.

Jessica: But they gave you a merchant account. And, actually, just for the listeners, tell them what WePay did.

Bill: Yeah, so at the time, we were what we called a group payments company. So we were trying to make it easy for friends to collect money from friends so you could split the dinner check or travel together, and so this was again before Venmo or any of these other types of offerings. So we were really competing with just PayPal at the time, and we tried to make a friendlier, easier to use, mobile and social version of PayPal to send money to friends.

Jessica: This has to have grown out of your own lives, right? The idea.

Bill: Absolutely. Yeah. Just in college we were always traveling and doing things together, and I think the Eureka moment was when Rich was actually planning his brother's bachelor party in south Florida. He had rented a house and he was trying to collect money from 13 different people, and there's always the two people that don't pay. We were sort of thinking about this problem together and we were like, this feels like when you're 22 or 23, of course everyone splits houses and that's just sort of a very regular thing, and so that was sort of the original idea.

Jessica: Did you and Rich meet in college or after college?

Bill: Yeah, we were seniors in high school and we were interviewing for the same scholarship at Boston College, and so we were going to BC for the weekend to interview and we met in the airport. We both ended up getting the scholarship. We decided to live together, and kind of the rest is history.

Jessica: No way. I had no idea.

Bill: Yeah.

Jessica: You were applying for the same scholarship. He's from New Jersey, right?

Bill: I'm from New Jersey. He's from south Florida. Yeah.

Jessica: Okay, and you met in the airport and both got this same scholarship and lived together?

Bill: Yeah, we were waiting for the shuttle to go to BC and we just started chatting. We ended up hanging out a bunch that weekend and decided to live together and had a lot of fun in college together.

Jessica: That's a founder meet-cute.

Bill: Totally.

Jessica: Okay. Rich has this idea borne out of his own frustration with this bachelor weekend. Were you both thinking, oh, I want to start a startup? Were you employed somewhere in Boston working at a big company and you wanted to do a startup with him?

Bill: Yeah, I was working as an investment banker in Boston.

Jessica: Ooh, which one?

Bill: I was at a firm called Jefferies Broadview, so this is sort of a boutique M&A bank that had been acquired by Jefferies. I was working out in Waltham, Massachusetts.

Jessica: Do you know I grew up near Waltham, Route 128. I worked for a Boston boutique investment bank called Adams Harkness & Hill, so of course I know Jefferies Broadview. Actually, I think Jefferies handled the Viaweb acquisition for Paul.

Bill: Oh, no way. I did not know that.

Jessica: Yeah, small world in Boston.

Bill: That was good trivia.

Jessica: Yes. Okay, so you were working there at the investment bank, and what was Rich doing?

Bill: Rich was applying to law school, and so he had actually kind of taken a year off. He was tutoring the LSAT. He applied to law school. He actually got into NYU Law, which is a top five law school. Not only that, but got a full scholarship to go to NYU.

Jessica: Wow.

Bill: So we were sort of bouncing ideas back and forth. I'm making my six figures at Jefferies in Boston. He's getting ready to go to law school. He had a lease for an apartment in

Manhattan. We kind of talked each other into just quitting and going for it. He deferred his admission for a year, and in doing so, by the way, lost his scholarship. So he is going to have to reapply for the scholarship. It's a huge risk. I quit my job, and he moved on my couch in Boston and we got to work.

Jessica: You can't see me, the listeners can't see me, but I have my mouth agape. Because I have to say, I can't believe Rich gave up his full scholarship to law school after spending a year studying for the LSATs and everything. That is really believing in your idea and wanting to do a startup, I guess.

Bill: I played a little bit of a trick on him where we met with the lawyers to incorporate WePay. This is before he had really decided. We spent an hour or two with a corporate attorney who was many years older than us, but was giving us paperwork to sign and just doing administrative tasks for us. We left the meeting and I was like, "Rich, you can study really, really hard and you can work your butt off and you can go be that guy, or we can go start a company together and we can go do something great." And he made the right choice, I think.

Jessica: He was like, "That guy's life looks lame. I want to do something else." Carolynn, yeah, I wanted your response.

Carolynn: Yeah, I liked doing that kind of stuff, but it's not for everybody.

Bill: Well, I think there's a difference, too, in working with lots of really exciting companies and being a corporate attorney at a big law firm. It's a tough job.

Jessica: Everybody has a different personal experience, that's for sure.

Bill: I got a taste of that as an investment banker, and so I just knew it wasn't what I wanted to do.

Jessica: Oh, were you working long hours doing pitch decks and things like that?

Bill: Definitely, and we had done a bunch of layoffs because it was 2008. And so they basically laid off all the junior people except for a handful of us, and so it was the small number of us supporting all the senior bankers who hadn't yet gotten laid off. It was just like, it's a really tough year. We were sleeping under our desks like four or five nights a week. It was pretty wild.

Jessica: Oh, wow. Oh, Bill.

Carolynn: Bad for morale. Very bad.

Bill: But it made it very easy to quit and go do a startup, which is what matters.

Jessica: Okay, so it's summer '09, you're in California, you're going through YC. Do you have any other memories of that summer in that batch? And who was in that batch with you guys? The Lockitrons?

Bill: The Lockitron, yeah. Eventually became our roommates in Palo Alto. It was also Sue Hale and Tim from Mixpanel.

Jessica: Oh, yeah.

Bill: Dave Lieb and Jake from Bump.

Carolynn: Mm, yeah.

Jessica: Dave Lieb was on the podcast.

Bill: Yes, I listened to that episode.

Jessica: Okay. Yeah.

Carolynn: Oh!

Bill: Because that's such an amazing story. But yeah, it was a great batch. We had a good group of people around.

Jessica: Do you have any memories of YC sort of from that summer?

Bill: There's just so many memories. One of the highlights of our summer was we won Prototype Day, so we felt like a million bucks. We were voted at the top and we were like, man, we really made it. This is amazing.

Jessica: Now, Prototype Day for our listeners is sort of artificial, we made up the day to light a fire under people. Like a month in, I think it used to be, we'd say, you're going to have to present for a minute or two to the rest of the batch. Just tell them what you're doing. It forced people to get their acts together. At the end, just for fun, we'd bring out a big colander or a big bowl from the kitchen and we'd be like, "Okay, everyone has to vote on who you would most want to have stock in if someone could give you X amount of shares. Which company?" And it was always interesting the way the batch voted for their peers. Not in your case, Bill, but it usually was never an indicator of who the most successful startup was. It was usually an indicator of who the best speaker was, believe it or not.

Bill: Oh, yeah. That makes sense.

Jessica: But I'm still impressed you won Prototype Day.

Bill: For us, it felt like just huge validation after a year and a half of really grinding. It was such a great win.

Jessica: Did you get your batch mates to use your product?

Bill: We did, yeah. So of course we'd meet with you and PG and you guys would tell us, "Go find users and go talk to users." And so the very first users of our product were our batch mates and we weren't really sure how to get them to use it. So we actually hosted a poker night in our garage in Milpitas, and the buy-ins were only through WePay. So That was sort of our very first kind of real transaction on the platform.

You think we might have had a really beautiful piece of software behind the hood, but it was basically a form that would say, "Rich paid \$50," and then I would log into our bank account on the backend and actually do the transfer. And so that was the very first version of WePay was this UI, and then us on the backend just manually doing stuff until we got more automated.

Jessica: Oh, that's hysterical. You were manually doing the transfer after it happened. So was there a half an hour delay or maybe poker night was a longer delay.

Bill: It was like 24 or 48 hours.

Jessica: I was going to say, I bet it was longer than half an hour.

Bill: It's not.

Jessica: Oh my God.

Bill: We actually did that a couple times over the course of history for various parts of the product, and I think that was really much in line with the Do Things That Don't Scale. ethos.

Jessica: I was just going to say. Yeah. Yeah, that's a classic Do Things That Don't Scale. story.

Bill: Yeah. I mean if you're processing thousands of transactions a minute, of course it has to be automated. But when you're processing five a day, manual works, actually pretty well.

So those were our first users, and then our second users, we went and Rich would sort of cold call fraternity treasurers across the Bay Area. So we had a fraternity at San Jose State and we invited them over for a barbecue at our house in Milpitas. We got them all signed up to collect their fraternity dues on WePay as part of that.

Jessica: I thought you were going to say, "We got them all drunk."

Bill: No, no. I think we had beer over barbecue for sure, but of course, those were our second users. We would literally force them to sit at our keyboard and walk them through the process of setting up an account and starting that.

Jessica: Very smart. Wow. I mean this is seriously doing things that don't scale.

Bill: We were pretty scrappy at the time. And then we realized that there was a lot of opportunity in these college clubs, and so we thought about, how do we get in touch with more college clubs? We would basically start building these email lists of all college club treasurers. We discovered that most schools, most universities have non-password protected LDAP servers. And so you could actually connect, you could download the entire student body's email list and you could cross-reference that with the clubs, so we started doing email marketing that way.

Jessica: Oh, that is sneaky.

Bill: Yeah, we were trying.

Jessica: You were exploiting a weakness there.

Bill: Yeah, and we would send personalized emails. It wasn't spam, it was sort of like, "Hey, we're a startup and we've got some great organizations at San Jose State using us, and would love to talk to you about how to simplify your dues collection."

Jessica: Did you get good feedback from the college students?

Bill: Yeah.

Jessica: Did they say, yeah, we use this all the time?

Bill: Yeah. We ended up finding really good product market fit, less on sort of splitting the dinner check, which is what we thought, and much more on club finances at universities. And so at one point, over half of Harvard Business School was using us for all their different clubs, so we kind of found this little niche pocket where there was this real pain point around collecting money from a lot of people. That was where there was kind of a willingness to pay us for that service as well, so that was where we found our first sort pocket of customers.

Jessica: If you're at Demo Day, which is at the end of the summer, a couple months into things, was that kind of part of your pitch, like our first customer base is with these college clubs? Is that the point you were at?

Bill: Yeah, this was 2009, so Facebook had just sort of run the similar playbook a couple of years earlier, where they started at college clubs and campuses and used that to sort of get to scale, and so some investors saw some similarity there. I will say Demo Day was tough for us. It was a really hard time. There weren't many people writing checks because it was 2009. And so we pitched over 40 investors, and most of them sort of passed or half passed. And then eventually we met someone named Eric Dunn, who was a very early ploy of Intuit. He really liked what we were doing and he offered to invest \$200k. Importantly, he introduced us to David Hornick at August Capital and said, "David, I really believe in these guys."

Jessica: Aw.

Carolynn: Aw, that's nice.

Bill: David quickly offered to invest a million dollars, so we had \$1.2 million.

Jessica: Whoa! That's all you need.

Bill: That was all we needed. And of course, as soon as you have a good strong lead like that, all the other investors called us back and we ended up raising about \$1.8 million from some awesome angels, Max Levchin and Ron Conway and a bunch of other folks. So that was [inaudible 00:24:22].

Jessica: Oh, that's awesome.

Bill: We raised a whopping \$3 million pre, which we were very excited about.

Carolynn: Wow, times have changed.

Jessica: Wow. That's breaking my brain right now. But yeah, those were the numbers back then. It was not a good time to be fundraising. But it sounds like even though you got some initial nos, you turned things around and it all went well.

Bill: Yeah, we just kept raising. I think I eventually met someone that our story really clicked with and hashed out a deal that worked for everyone, and it worked out.

Jessica: Would you and Rich go together, or would you go-

Bill: Yeah, I was mostly doing them with fundraising and Rich was back home working on the product and also just trying to get the product to grow. We would try to be showing some decent double-digit growth week over week, which is a lot of work. It's a lot of club treasurers to talk to and get signed up and get them using our product. So that was kind of how we divided it up.

I remember when we got our term sheet from David Hornick, we met at the Four Seasons in Palo Alto, and he kind of gave us the term sheet and we played it real cool. And then we got out to the car and we closed the door, and we just went crazy. We were so excited. We were starting to scream. It was really fun.

Jessica: What group did you target right after club treasurers? What was your next big customer target?

Bill: Well, I think one of the things that we realized was that clubs were good for some usage, but it was like they would collect money a couple times a year. It wasn't a very frequent use case. The more frequent use cases, it was hard to charge. It was like if you're sending money to split the dinner check, people didn't want to pay 2% or 3%. They wanted to do it for free.

And so we kind of started floundering a little bit at that point and we tried a bunch of different use cases. We built a donation page, and we built an event ticketing page for our clubs. We built more sophisticated invoicing tools. We built an online store. We were just trying all kinds of stuff.

I think what ended up happening was we had the third-best product in every single category, but not the best product in any one category. We ended up with a little bit of traction here and there, and it was sort of working, but it wasn't really working. And then we ended up building an API and allowing third parties to build on top of our platform because we were getting phone calls from other founders and the other founders were saying, "Hey, you guys know a lot about payments. We're trying to figure out payments. How do you work with a bank? How do you set up this whole stack? What do you do about fraud?" And so we were giving out all this advice and then we were like, maybe that is actually a better audience to go sell to as our customers. We built an API to serve them, and so that ended up being the future of the business and really took off.

Jessica: Wow. What year was that, roughly?

Bill: In hindsight, it's like this crisp anecdote, but I think in reality it was over the course of 18 months. We kind of knew that growth was kind of slowing down. We needed to do something else. We're trying a bunch of stuff. And so I think this was probably like 2012, 2013 that we were figuring this out.

And then I think one of our first customers on our API was GoFundMe when it was a two-person company and they were just getting started. And so they started to really grow and crowdfunding really started to take off.

Jessica: Wow.

Bill: And that was what kind of helped open our eyes to our API business.

Jessica: Did you have any big problems with fraud?

Bill: Tons, yeah. So what we were doing on the fraud side was similar to our Do Things That Don't Scale. approach, where we would manually review transactions. So transactions would come in, we'd have a team on the backend looking through them to kind of just manually look at stuff, and that was working until all of a sudden growth started to really take off with GoFundMe's growth and others, and so we just couldn't review all the transactions anymore. There's one week where we lost \$500,000 in the span of seven days. And so that was really sort of scary. If we didn't stop it immediately, we were going to be out of business. We had just sort of hired a couple folks from eBay on the risk side, and so they very quickly stood up a much more automated way of reviewing those transactions and kept us in the fight. But it was really scary and kind of touch-and-go for a little while. Because once fraudsters find a little weakness in your system, they just swarm to it.

Jessica: I was going to ask, did Max Levchin have some insights that were useful?

Bill: He did, yeah.

Jessica: Considering his work with PayPal.

Bill: Yeah. It was crazy how quickly it went from zero to 500K, so we were like, fine, we're fine, we're fine, we're fine. And then all of a sudden one day we just woke up and we were getting chargeback after chargeback after chargeback and we're like, "What is happening?" I guess word had gotten out on these hacker forums that we had this weakness and they were just on us. And so Max and a couple others helped us get things fixed.

Jessica: Wow, that's pretty scary.

Bill: Yeah, totally.

Jessica: Changing the subject, I'm curious about your memories of Palo Alto. You were living near us in Palo Alto. This is when you were living with your batch mates, the Lockitrons, so it must've been maybe 2010 or a little bit later.

Bill: Yeah.

Jessica: What was Palo Alto like? Because this is before the sort of gravity shift up to San Francisco for all the startups. Back when University Ave was this magical place and the University Cafe, all the startups raised money from VCs there. This is before Palantir took over every single office, and there actually were lots of startups around downtown Palo Alto. What do you remember it being like? Facebook was on University Ave then.

Bill: Yeah, it was awesome. It was paradise for startup founders. You would walk around and the weather would be great, and there would be PG walking around or you'd run into other friends from your batch. And so it was kind of this really tight-knit community that were people building things in technology. I also think startups were a lot less cool and a lot crazier then than they maybe are now. In the middle of the great recession, you had to be really into startups to go quit your job and go move to Palo Alto and start building stuff. And so the community was kind of smaller and more intimate and you'd walk into coffee shops and just sort of see friends. It was just a really fun time to be there and to be building.

Jessica: Did you ever interact with the Airbnbs?

Bill: They were in the batch before us. So yeah, I went for a couple walks with Brian at the time, and certainly they were around. Patrick and John from Stripe were around, too. We were on, I guess it was probably Ramona and so-

Jessica: Oh, yes! The Ramona office.

Bill: Yeah, there was this great little community of founders that was just fun to be a part of.

Carolynn: The Coupa era.

Jessica: God, the Stripes. Yeah, the Stripes were right near Coupa Cafe.

Bill: Yeah.

Jessica: And actually, Y Combinator took over their office after they moved.

Bill: That's right.

Jessica: It was a charming, fabulous office.

Carolynn: Oh, the days.

Jessica: I think there was a Lockitron on the door, by the way, wasn't there?

Carolynn: Yes!

Bill: The what? You're right.

Carolynn: Right?

Jessica: We totally used the Lockitron products.

Bill: We actually moved into 165 University, which was, they call it the lucky office because it was the same office where YouTube got started, PayPal got started and WePay occupied it. So it was sort of a fun little University Ave story down there.

Jessica: Where was 165 University Ave?

Bill: It was right above the vegan Loving Hut, if you remember that place.

Jessica: It sounds familiar.

Bill: University and High Street.

Jessica: Oh, okay. So down toward the Caltrain.

Bill: Yeah, there was always this faint scent of falafel in our office.

Jessica: I do remember that. I wonder who's in the lucky office now.

Bill: I wonder that too.

Carolynn: Why don't you go knock on the door?

Jessica: Palantir probably.

Carolynn: Yeah.

Jessica: Or did they move? They've recently moved all their headquarters, I think. So any other sort of crazy stories from WePay over the next few years?

Bill: The decision to kind of pivot our business away from consumer and to this infrastructure company was, I think, one of the defining decisions of our company. It was hard. I wish in hindsight, I had the clarity to be like, we're going to switch our business from this to that, but it was sort of this year and a half or two year kind of gradual transition away from consumer and into this API business.

And that, I think, really kind of set us back. We didn't have the team for this new business. We didn't have the external positioning around, our company was kind of vague and murky. I think in hindsight, one of the lessons I learned is when you've got to make a big strategy change, doing it crisply and quickly and decisively is really key, and we did it more gradually. Because of that, I think it was hard. We were dealing with all sorts of issues. We had fraud issues, we had big outage issues because the people you hire to do consumer fund UI driven payments and the people you hire to build scalable infrastructure software are just different. So we would have these hour long outages and customers would be mad, and we ended up having 65% attrition in one year from our team, because it was just super stressful.

Jessica: Oh, wow. Ooh. Yeah.

Bill: It was tough times, but eventually we sort of stuck through and changed the team over and got the team refocused and repositioned the company and we made it to the other side. But 2014 in particular, I remember being a really, really hard year.

Carolynn: How many employees did you have at your largest?

Bill: When we were acquired by JPMorgan, we were about 300 employees.

Carolynn: Oh, that's a lot.

Bill: Yeah, at the time in 2014, we were around 60.

Carolynn: Oh, okay.

Bill: Yeah.

Jessica: Did your investors always support you or did they ever say, "What are you guys going to do? What's going on here?"

Bill: Yeah, all of our early stage investors, David Hornick and Peter Bell and Paul Purcell and Chris Howard, they were just so very supportive through all this. Because they had

invested in this consumer company and now we were like, "Hey, we're going to do something completely different," and they kind of backed us the whole way. At one point we had maybe two months of cash left and we were really starting to worry. I remember going to Peter and David and being like, "I don't know. What do we do guys? Are we going to have to shut the company down?" The two of them sort of stepped up and said, "We're going to help get this financing done," and they both put in more money, we brought another investor in, and gave us the time to round the corner and make that change. It wasn't obvious at the time. It was sort of a tough bet, so really, they were just so supportive.

Jessica: I'm interested in the acquisition, but also what was it like to work at JPMorgan Chase, this huge bank?

Bill: Yeah, so we grew up and we got to break even and we were around 300 people. We started talking about who we could partner with to take the company to the next level. Because we were doing well, but we weren't going to be the number one or number two player in the payments market. We were like maybe number three or number four. And to kind of close the gap, it was going to require a lot of money and a lot of investment. Rich and I had been doing this for 12 years, and we had started a consumer company that we were really excited about. We ended up in this infrastructure company that was a good business, but it wasn't the reason we had started and became startup founders, so I think we were kind of ready to move on.

Jessica: 12 years is a long time, by the way.

Carolynn: It is. Yeah.

Jessica: I mean, you put in the time.

Bill: Absolutely. Absolutely. And so when JPMorgan was looking at ways to kind of modernize their payments team and came knocking, and we spent actually almost a year kind of getting to know them and talking about what an acquisition could look like, and then ultimately decided it was the right place for the company and the team.

And so they took the entire team. We went inside, we operated independently for a little while inside, and they gave us a bunch of money to grow the company, too. So it was pretty exciting coming into it. I think over time there's reorganizations and re-prioritizations and all kinds of stuff that happens at big companies, and so I think closer to the end of our time there, some of the thinking about what we wanted acquisition had changed. And so it was the right time for Rich and I to move on, but at the time we decided to sell the company, it felt like the right thing to do.

Jessica: How was the DNA of a big bank different, in your opinion, from the DNA of a startup?

Bill: Yeah, I mean, it couldn't be more different. I don't know if one's right or wrong, they're just very different. The people that work at JPMorgan, a lot of them are really, really smart, really, really hard working, worked at McKinsey and are hard charging, intelligent

people. But the things that work at McKinsey or at JPMorgan are not the things that really work at a startup, and so it's just a different way of thinking. It's a different way of valuing talent. It's a different way of thinking about risk. It's a different way of thinking about talking to customers and building stuff. And so there's, I would say, definitely a little bit of a culture gap. We tried to solve for that by trying to operate as independently as we could so that we could preserve the kind of startup culture and mentality and all that. I'd say we were moderately successful at that. It wasn't easy.

Jessica: How long did you spend there, ultimately?

Bill: I was there for three years.

Jessica: Okay.

Bill: Yeah.

Jessica: Rich, too?

Bill: I think Rich made it three and a half years, but that was about the time. And I think the thinking had changed from, let's keep WePay separate and let them do what they're going to do, to let's start to really integrate this. And I think that's a different skill set than what I think Rich and I were excited about, and it was the right time for different people to come in and run the company. So it's a much different company today than it was when we had it. But it's powering a bunch of great stuff at JPMorgan, and so I think it's got a good legacy.

Jessica: Great. You'd been working on this for 12 years as a startup, then three years at JPMorgan. What did you do after you left JPMorgan? A lot of people struggle with, "I have to do the next big thing", but we tell founders, "Just go on vacation for a little while. Just relax."

Bill: Yeah, I kind of just took a year off. My wife and I bought a ranch in Mendocino County. That was my present to myself when we sold the company. So we were kind of living up there. For the most part, it was sort of COVID. This is kind of 2020, 2021. And so I just spent a year working on the ranch. I built this patio and I built a retaining wall and I moved a lot of dirt around, stuff like that. I got really into home automation. I had cameras and well sensors and-

Jessica: Really?

Bill: ... kind of useless stuff like that, but it was fun. That's what I did for a year. But that time off in that space actually led me to what I'm doing now. Because during that, we had a couple wildfires burn adjacent to our property and on our access road, and I ended up joining the volunteer fire department up there and went out on a couple of wildfires.

Jessica: You did that before you started the fund. You were a volunteer fireman.

Bill: Just for a year or two to learn about it. Mostly, just because I was interested and had time off on my hands. Coming out of that, I was like, man, there's some really great people working really hard on an important problem, but there's just not enough technology or tools for them to be as effective as they could be. That was kind of the initial idea behind Convective Capital, was to fund the creation of those tools so that we could address this problem.

Jessica: It's a great name, by the way. Convective Capital. I love it.

Bill: Thanks. Yeah.

Jessica: AndCarolynn-

Bill: It's the mixing of heat from fluid transfer, which is I think a little bit about the fire world and the technology world. We need to mix them together.

Jessica: Carolynn, I don't know if it was last summer or the summer before, but I was talking to you about living in the Bay Area. You said to me, I can deal with most things, but I cannot deal with the wildfire seasons and all the-

Carolynn: No, it's right.

Jessica: ... the air.

Carolynn: It's so stressful. Because you have a go bag in case you have to evacuate and just like, I don't know, it just kind of sucks to think about that.

Bill: We had that big day in September of 2020 where the sky turned orange and the sun didn't come up.

Carolynn: Oh, yeah. Yeah, it was dark.

Bill: That was a real breaking point for a lot of people.

Jessica: Yeah, no, no, I remember that day like it was yesterday actually. It was terrible.

Bill: The scary thing is that a lot of the scientists predict that by the year 2050, in most climate scenarios, our air quality in the Bay Area will be like that on a much more frequent basis. That actually our average air quality here will be similar to the wildfire season year round. And so to me, that's, A, a really big problem, and I think if we want to continue to live here, we're going to have to fix that; but, B, a big opportunity. I think it's for companies to think about how they can address that and provide tools to stop that, I think is a big one.

Jessica: Well, this is what I wanted to ask you about Convective Capital and the inspiration behind it. Did you ever think, I'm going to start a startup to do this? Or did you think,

gosh, we don't know what the solution's going to be, we need lots of people addressing different problems?

Bill: Yeah, it's a great question. I was initially going to start a company. I was thinking, oh, I'm going to do something around insurance. I'm like, FinTech, climate resilience, put those two together. How can we create an insurance product for wildfire risk? Which is really hard to insure.

As I was studying that, I kind of realized that there was just like, you can't insure it because there isn't a solution yet. What is the solution? It's not one company. It's probably 15 or 20 companies. Some that do suppression and put out fire, some that do forest management and resilience, some that do home hardening. And so I started angel investing in these companies that were doing that, and then realized, okay, there's actually a fund here that could exist to kind of back those companies at a bigger scale. Because wildfire is kind of a weird niche market. There's not VCs flocking to it, and so it kind of feels a little bit like FinTech in 2008 where it's I think a really big opportunity but overlooked. And so that's what we try to do, is kind of get those companies to the next level so they can access more capital.

Jessica: I have to tell this story. I was sitting on a panel in England. It was with some students who all came with ideas, and I was a judge, basically, and the startup that won was a firetech startup idea. One of the other panelists was a VC. When we were sort of behind the curtains deciding who should be the top prize winner, this VC said, "Oh, there's no money in firetech. Fire Tech startups don't make money." I'm curious what you think about that, because I said, "Well, I'm invested in a fund that does." Your fund, of course.

Bill: Thanks, Jessica. Yeah, I think that's a little bit of the common view. That's the consensus viewpoint among investors, is that this is a government problem. It's sort of not something the private sector can play a role in. And I just couldn't disagree more.

I think in California alone, there's \$2 trillion of real estate that's at moderate wildfire risk or higher. That's just California. And then you think about it on a national scale or on a global scale. These are enormous numbers. And PG&E, which is our utility here in Northern California, lost \$80 billion due to a wildfire of market capitalization. They got fined and they went bankrupt, and the CEO lost their job, and now utilities are spending tens of billions of dollars a year on wildfire mitigation.

So I think that there's really big economics at play in these markets. I think it's not quite fully understood or appreciated by people. And you think about where it's going to be not just today, but five years from now, 10 years from now. The trends are not good, and so I think the money at stake in fire and in climate resilience more broadly, I think is going to be truly immense.

Jessica: Yeah. I'm just curious, because you mentioned that a lot had to do with the government. What's sort of the characteristic failure mode for these startups? Is it that they can't get the government to adopt their tech or what?

Bill: Yeah, there's a lot of really interesting technologies and solutions that are out there. I think the big stumbling block for companies in this space is just, is there a business model? Is there a willing buyer on the other side?

Fire agencies do really amazing work, but they're not known for embracing the bleeding edge of new technology. For good reason; their lives are on the line. But I do think that's one of the hard parts of building in this market, is how can you find your first initial customers? How can you find that fire chief who's willing to take a chance or try something new or do a pilot?

That's, I think, one of the things that we try to help our companies with, is how do we help not just give them funding, but can we help get them in touch with their first customer, their second customer, the innovative person at a utility, the innovative person at an insurance company. And so we try to convene the innovators in these sort of stodgy fields and bring them all together. I think in some ways, my time at JPMorgan kind of lent itself to that. I think there's ways to innovate in these big organizations. It's just you got to find the right people.

Jessica: Wow. So have you learned a lot getting into this area?

Bill: Yeah. I think it's such a fascinating space to be. When we started in FinTech, it felt kind of similar. It was like, no one had built a successful payment company since PayPal. The banks owned everything. It was really regulated. There was all this sort of thinking on why it wouldn't work. I think us and the Collisons and whatnot kind of got in there and figured stuff out and put the right pieces together and built some really interesting companies.

And so I think there's a similar opportunity in fire and in climate resilience. It's like how can you figure out the businesses and how to work with the incumbents, but sort of create new economic models and new solutions? So I'm just really loving it. It's super interesting.

Jessica: Well, you have 27 more years to save the Bay Area's air pollution level.

Bill: I'm on it.

Jessica: Get on it, Bill.

Bill: I think it's solvable. We need better land management, better suppression and detection technologies, probably better filtration for houses as well. So if you're starting one of those companies, please give me a call.

Carolynn: Education, too, for homeowners. We used to get sent this notice, it looked like it was typed on a 1957 typewriter. "It's fire season. Please mow your weeds," like this for a decade. And then this year we got shiny diagrams and pictures, and, "Here's how you get rid of these plants and here's what you should do," and it was incredibly detailed. I'm like, "Finally," just my little community got serious about fire prevention because we're

all so hugely at risk here. Absolutely. So I just think that times are changing and people are catching on.

Bill: Absolutely. I think it's good. The optimistic side of me looked at that day in 2020 and said... I think that was the day a lot of things changed for people and how they think about wildfire and climate resilience. I think it's awoken a sleeping giant of governments and insurance companies and founders to go try to address this, and so I'm optimistic.

Jessica: I have more of a personal question for you. Because Carolyn, have you seen pictures of Bill's mini me? Literally mini me?

Carolyn: Oh, no.

Jessica: How old's your son now?

Bill: He's 10 months. 10 and a half months.

Jessica: Oh, my gosh. I'm sure keeping up with him takes a lot of your time. What do you like to do to relax? Are you still building retaining walls and things like that? What are you doing?

Bill: I do some of that. Yeah. It's funny. He's just progressing so quickly. I was on a five-day trip to the East coast to go to DC and a couple other things. When I left, he was kind of doing this slow one arm crawl, and then I got back and he's just tearing the house apart. It's just literally in the span of a week. So this weekend, I'm going to be putting up baby gates and stuff like that.

Carolyn: Baby proofing.

Jessica: Oh, gosh.

Carolyn: Good luck with that.

Jessica: I remember those days, of the gates and the things in the socket so they wouldn't electrocute themselves.

Carolyn: I'd rather build a retaining wall, honestly, than do all the baby proofing.

Bill: But yeah, we spent a lot of time with him and we still try to spend a lot of time out in the woods in Mendocino. I think having a 10-month-old, you start to think about timelines differently. It's like, okay, he is going to be alive 80 years from now, hopefully. And so what do we want the world to look like then? What tools are we going to give him in his generation? And so I think that that's part of what's drawn me into the climate world is that we got to take that responsibility seriously, so that our kids' quality of life is as good or better than ours.

Jessica: Yeah, definitely. Is there a company that listeners should know about that's doing a lot of great stuff to fight climate change, in your opinion?

Bill: There's so many, but maybe one I'll just share is we are investors in a company called Overstory. Overstory helps utilities monitor vegetation growth around their power lines using satellite imagery. So the current way that utilities trim trees around power lines is they send a person out in a pickup truck and they take notes and then they go inspect it. When you have 200,000 miles of power lines, you don't catch everything and trees fall on the lines and they start fires.

And so what Overstory does is kind of helps automate that and helps them really figure out where the high risk areas are they need to focus their efforts on and can get a lot more efficient about it. So that's one of our companies that I think is doing really great work and literally preventing fires from ever starting by doing that, which I think is super exciting.

Jessica: Yeah. That's awesome. Well, thanks so much, Bill. I know we're coming up at the end of our time, so I just want to thank you for being on the show. We had so much fun talking to you.

Bill: Thanks for having me. It was a blast to relive the glory days of WePay. Thanks for all you've done for, not just for WePay, but for lots of other founders. I think you've been a huge part of our story and success.

Jessica: Aw, thank you. All right, we'll talk to you soon.

Carolynn: Thanks, Bill. Bye

Jessica: Carolynn. That was so much fun.

Carolynn: Yeah, it's always great to talk to Bill. I had a thought when he was telling a story, which is that, and tell me if I'm mischaracterizing it, but this is basically a banker and a would-be lawyer got together and started a pretty complicated sophisticated payments company, and I think what I really love about that... Now, obviously they're Rich and Bill are super formidable, super smart founders. But it kind of pushes back against who can be startup founders, and do you have to be a certain way or do you have to have a certain amount of technicality to be a startup founder? It's more like if you're smart and formidable, you can start a startup.

Jessica: They definitely had the hustle.

Carolynn: Just sort of on face value, you have these two people who are going into professions that people don't think about when they think about startup founders. So I kind of like that they push back a little bit against the stereotype.

Jessica: And how about that Rich left his opportunity to go to law school with a ride?

Carolynn: Yeah, that's a big leap of faith.

Jessica: It really is. It shows you the kind of commitment they had to this. You have to be all in to make it work. You can't think, "Oh, well maybe I'll do it if it takes off."

This is a big trap that founders get into. They think, "Well, I'll work on it on the side until it really takes off," but it takes a lot of work to get something to take off. So you do have to be all in. It was a long time ago. Summer '09, and they've done a lot. And I'm so excited that he has this fund now working on firetech, because it's such an important problem, especially in California where it's just so crazy there.

Carolynn: Totally agree with him, with Orange Day being... Everybody remembers Orange Day in the Bay Area, because it felt incredibly apocalyptic here. It was dark all day, and it really feels, again, apocalyptic to have it be dark in the middle of the summer during the day. That was the day I was like, I need to live somewhere different. I didn't move, but it's just like I can't. If this is our future, this is not great.

Jessica: Well, hopefully he'll have some good luck with his portfolio companies.

Carolynn: Oh no, I hope he does too. I think it'll be amazing for people to focus on that and for money to flow into that space.

Jessica: And for them to have a champion, for this industry to have a champion. It sounds like it's a pretty early stage and there's still that skepticism in the greater investment world.

Carolynn: No, it'll be really interesting to see how he does with all this, and I wish him the best of luck because it's super important.

Jessica: Well, we will talk soon then. That was a lot of fun.

Carolynn: All right, see you next time.

Jessica: See you next time.

Carolynn: All right, bye.

Jessica: Bye.